

MAINS MASTER PROGRAM (MMP) 2024

ETHICS – 13

Topic - Corporate Governance & Ethical Issues in International relations & Funding

Corporate Governance

➤ What is corporate Governance?

- ✓ Corporate governance refers to the **system of rules, practices, and processes** by which a **company is directed and controlled**.
- ✓ It involves balancing **the interests of a company's many stakeholders**, such as shareholders, senior management executives, customers, suppliers, financiers, the government, and the community.

➤ Principles of Corporate Management

- ✓ Accountability of Management [Shareholder & Stakeholder]
- ✓ Transparency [Basic operations & **integrity in financial reports**]
- ✓ Mandatory inclusion of **independent directors**
- ✓ Adherence to laws & rules
- ✓ Code of Conduct [Employees & Directors]
- ✓ Mechanism of open dialogue [Management & stakeholders]
- ✓ Ethical Conduct
- ✓ Risk Management and Internal Controls

➤ Corporate Governance: Provisions of Companies Act, 2013

✓ National Financial Reporting Authority

- Formulate Accounting & Auditing standards
- Monitor compliance
- Quality of Auditors, Accountants etc.

✓ Audit & Auditors

- Appointed after first annual general meeting [Board of Directors]

✓ Directors

- Company's Strategic objectives & Policies
- Monitoring progress towards achieving the objectives & policies
- Appointing members of senior management
- Minimum 1/3rd Independent directors [Custodian]

✓ Audit Committees [Independent Directors]

- All public companies paid up capital 10 crores or more
- All public companies having a turnover of Rs.100 crore or more

✓ Class Action [All persons of same class get benefit]

- suit can be filed against company or directors for fraudulent, unlawful, or wrong commissions
- Against auditors for misleading statement

✓ **Corporate Social responsibility**

➤ **What is corporate social responsibility?**

- ✓ Corporate Social Responsibility (CSR) refers to the practice by which businesses participate in initiatives that benefit society

➤ **Legal Provisions**

✓ **Mandatory for companies [Criteria]**

- Net worth 500 crores
- Net turn-over 1000 crores
- Net profit 5 crores

✓ **2 percent of profit for social development**

✓ **Scope of areas**

✓ **Penalty for non-compliance**

- transfer of money to any fund mentioned in schedule 7 of the act [e.g., PM relief Fund]
- Non-compliance [Fine or Imprisonment (3 years)]; Amendment in 2020 made it only civil offence

➤ **Advantages of CSR**

- ✓ Enhancing Corporate Reputation
- ✓ Attracting and Retaining Talent
- ✓ Customer Loyalty
- ✓ Long-Term Profitability
- ✓ Risk Management

➤ **Case Study: Tata Group's CSR Initiatives**

The Tata Group, one of India's largest and most respected conglomerates, has been a pioneer in CSR. The company's approach to CSR is deeply rooted in its corporate philosophy, emphasizing ethical business practices and social responsibility.

✓ **Key CSR Initiatives of Tata Group**

1) **Education and Skill Development**

- a) **Tata Trusts:** A significant portion of Tata Group's CSR initiatives is channelled through Tata Trusts, which focus on education, health, livelihoods, and arts and culture. Tata Trusts run numerous programs aimed at improving the quality of education in rural and underserved areas of India.
- b) **Tata STRIVE:** This initiative focuses on skill development, aiming to bridge the gap between education and employability. Tata STRIVE partners with various organizations to provide vocational training to youth, enhancing their job readiness and opportunities.

2) **Community Development:**

- a) **Tata Steel Rural Development Society (TSRDS):** TSRDS works on rural development projects, focusing on agriculture, health, education, and infrastructure in the regions where Tata Steel operates.

- b) **Disaster Relief:** Tata Group has been actively involved in disaster relief efforts, providing aid and support during natural calamities like floods, earthquakes, and cyclones.

➤ **Moral Integrity & Professional efficiency in Corporate Governance**

✓ **Moral Integrity**

- Moral integrity refers to the adherence to ethical principles and values in decision-making and behaviour.
- It involves honesty, fairness, and a commitment to doing what is right, even when it may not be the easiest or most profitable course of action.

✓ **Key elements of moral integrity**

- Transparency
- Accountability
- Ethical Decision making
- Respect to stakeholders

✓ **Professional Efficiency**

- Professional efficiency involves the ability to effectively manage and oversee a company's operations, ensuring that it runs smoothly, achieves its objectives, and maintains financial stability.
- It encompasses competence, strategic planning, and the implementation of best practices.

✓ **Key elements of professional efficiency**

- Competence and Expertise
- Strategic Vision and Leadership
- Operational Efficiency
- Performance Measurement and Accountability
- Effective Risk Management

✓ **The Intersection of Moral Integrity and Professional Efficiency**

- A company that prioritizes moral integrity is more likely to build trust with stakeholders, attract and retain talent, and maintain a positive reputation. This, in turn, contributes to professional efficiency by creating a stable and supportive environment where ethical standards guide business practices.
- Professional efficiency supports moral integrity by ensuring that the company has the systems, processes, and competencies needed to uphold ethical standards. Efficient management reduces the likelihood of unethical behaviour by minimizing opportunities for misconduct and ensuring compliance with laws and regulations.

✓ **Case Study: Infosys [corporate governance emphasizing on both moral integrity and professional efficiency]**

- **Moral Integrity** - Ethical Framework, Transparency and Disclosure, Whistle-blower Policy, Stakeholder Engagement etc.
- **Professional Efficiency** - Competent Leadership, Strategic Initiatives, Operational Excellence, Sustainability and Corporate Social Responsibility, Risk Management etc.

Questions

1. The integration of moral integrity and professional efficiency is the key to long term success of the corporates. Do you agree? Explain with suitable case in favour of your view. [10]
2. Companies that prioritize ethical principles are more likely to build trust, enhance their reputation, and achieve long-term success. Elaborate [10]
3. Corporate social responsibility makes companies more profitable and sustainable. Analyse.
4. You are an employee of a leading multinational company called ZYX Pharmaceuticals which a good reputation at the international level. Your company is a leading manufacturer of various drugs of high value known for their effectiveness to various diseases. Presently, the research and development team is in the process of conducting clinical trials for particular type virus called Mpox. You are the deputy chief of the project & the results of the clinical trails are mixed and your doubtful about the results and the efficacy of the medicine developed to treat the Mpox virus. However, there is lot of pressure from the company management to complete the trails & approve the medicine as it would give them a competitive edge in the market.
Under such circumstances your chief is calling you & asking you to manipulate the findings the clinical trails which would help in getting the necessary regulatory approval and in rolling out the drug at the earliest. He also hints there is a clear direction from the senior management in this regard. You have serious ethical dilemma after hearing this from your chief thinking of the potential negative consequences of the action.
 - a) What are the various options available to you under the present circumstances?
 - b) Discuss their pros & cons along with justification for the best option.

Ethical Issues in International relations & Funding

- Ethics in international relations involves principles and values that guide the behaviour of states, organizations, and individuals in their interactions on the global stage.
- **Ethical principles in international relations**
 - ✓ Respect to Sovereignty
 - ✓ Human Rights
 - ✓ Respect for International Law
 - ✓ Non-Aggression
 - ✓ Environmental Stewardship
 - ✓ Justice & fairness
- **Ethical Challenges in International Relations**
 - ✓ Humanitarian Intervention vs. Sovereignty
 - ✓ Realism vs. Idealism
 - ✓ Global Inequality
 - ✓ Power Dynamics
- **Ethical Considerations in Contemporary International Aid**
 - ✓ Sovereignty and Respect for Local Needs
 - ✓ Self-serving interest [China Belt Road initiative]
 - ✓ Equity and Inclusiveness
 - ✓ Long-Term Impact and Development

- **Ethical considerations relating to refugees**
 - ✓ Principle of Non-Refoulement
 - ✓ Human Rights and Moral Responsibility
 - ✓ Legal and Ethical Obligations
- **Ethical Considerations in Resolving International Tensions**
 - ✓ Principle of Mutual Respect and Cooperation
 - ✓ Adherence to International Law and Norms
 - ✓ Promotion of Human Rights
 - ✓ Ethical Diplomacy and Conflict Resolution
 - ✓ Balancing National Interests with Global Responsibilities
 - ✓ Promoting Economic Cooperation and Development

Questions

1. **Ethical considerations can play a vital role in resolving tensions between nations. Comment [10]**
2. **Strength, peace, and security are integral pillars of international relations, each playing a vital role in shaping the global order. Elaborate [10]**